



Don't you hate it when you don't have change for a cow?

to trader A's city" and so forth. The solutions of these types of issues led to the modern economy where nations and banks were entrusted with guaranteeing the value of "notes" or currency as they became over time.

For the longest time all currency issued by nations was guaranteed by deposits of gold in their reserves. The assurances printed on currency notes such as "I promise to pay the bearer a sum of X..." meant that an individual could

theoretically go to the national reserve and exchange the "note" currency with X value of gold. However, this was rarely ever done or necessary and the international economies continued to move on trust - of the fact that there actually was gold of equal value in the reserves. This was known as the "Gold Standard" and was formally entered in to by 44 nations in 1944 as a part of a new international economic system that would allow global trade. This decision was taken at the United Nations Monetary and Financial Conference or the Bretton Woods Conference. The agreement also gave birth to the International Monetary Fund (IMF) and the International Bank for Reconstruction and Development (IBRD). Currencies were tied to the U.S. dollar and the IMF managed any intermittent imbalances of payment between nations.

This form of currency system in domestic and international economies found value from its gold reserves. As long as gold remained a valued commodity, the currency representing it was considered valuable. Clearly this proved harder to apply in the long run than it was initially thought. The necessity of having an equal amount of gold in reserves forced banks and nations to keep accumulating the metals as currency demand increased. And the use of gold and silver in industrial processes' became a far more pressing concern since you could either store the metal as reserve for currency or lose it in an industrial process. The pressure on maintaining enough reserves as populations and currency demand increased became a problem.